

FIN600 - Financial Reporting and Modelling

Company Analysis Report – FirstEnergy Corp.

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Executive Summary

The FirstEnergy Corp is one of the largest regulated investor-owned electric utility companies in the United States that provide primarily in transmission and distribution (T&D) and not in generation. The company, which had its major merger in 1997, shifted to a full-fledged utility model serving some six million customers in the state of Ohio, Pennsylvania, New Jersey, West Virginia, and Maryland. Through regulation operations, FirstEnergy has minimized risk to unstable merchant generation markets and has aligned growth to long-lasting predictable rate-base investments in the PJM Interconnection region.

The electric utility industry in the United States is highly regulated by both FERC and State commissions, capital intensive and not directly competing in the retail market, because of natural-monopoly territories. Increased electrification, due to electric vehicles, data-centre load growth, and integration of renewables, generates a continued need of modernizing the grid, yet a greater burden on cost and financing of T&D operators. FirstEnergy is not a retail competitor, but an indirect competitor of large peers (e.g., Duke Energy, Exelon, AEP, Dominion, PPL) in terms of attracting investor capital, regulatory permission and reliability image.

The trends of the common-size balance sheet between 2017 and 2024 show a structurally assets-intensive and leverage-based utility, where the common-size shareholders equity decreases significantly as a percentage of assets, 26.36 to 9.29 in 2017 to 2024, respectively, indicating systematic debt financing and not equity injected. The regulated utilities continue to have a high level of profitability, as gross margins have been significantly high (over 55% in some years) and operating margins have remained robust even in the weak periods. Nevertheless, ROA (1.0-2.8) and ROE (17.8% in 2017 to 8.5 in 2024) are declining, which highlights the fact that the volatility of returns is becoming more dependent on the financing structure and the increase in the cost intensity, as opposed to the T&D operations only. Liquidity ratios are always less than peer medians and less than 1 during most of the period, and show a lack of short-term flexibility, and increasingly dependent on long supplier credit, but the working-capital pressure is mitigated by an efficient turnover of receivables.

The valuation results indicate that there was a high model dispersion with the intrinsic estimates suggesting long-run share value of CAD 42.7-67.4 with relative peer benchmarking giving a market-consistent central point of CAD 54.78, which captures the pricing behavior of the sector. Whilst operational sound and ideally placed to take advantage of infrastructure expansion, continued compression of margins, low liquidity convergence as compared to its competitors and high leverages increase its interest rate, regulatory and inflation sensitivity.

Given the risk-adjusted outlook, a Buy rating is not recommended. A Hold or deferral entry position is more reasonable until leverage, cost pressure, and short-term financial flexibility demonstrate more convincingly positive change, enhancing the long-term appeal to investment to the company without subjecting it to structural risk.

Table of Content

Executive Summary	ii
1.0 Company Analysis	1
1.1 Company Overview	1
1.2 Business Operations and Segments.....	1
2.0 INDUSTRY ANALYSIS	1
2.1 Industry Overview	1
2.2 Structure and Characteristics of the Industry	2
2.3 Industry Trends affecting FirstEnergy.....	2
2.4 Key Competitors.....	3
2.5 Porters Five Forces Analysis	3
2.6 Swot Analysis.....	4
3.0 Accounting Policies and Their Impact on Earnings Quality	4
4.0 Financial Analysis.....	5
4.1 Common-Sized Financial Statement (Appendix I)	5
4.1.1 Income Statement -Common Sized	5
4.1.2 Balance Sheet - Common Sized	5
4.2 Ratio Analysis (Appendix II).....	6
4.2.1 Profitability Ratio	6
4.2.2 Efficiency Ratio.....	7
4.2.3 Liquidity Ratio.....	8
4.2.4 Solvency Ratio.....	8
4.2.5 Market Ratio	9
4.3 First Energy's Ratios Comparison with Industry Benchmark	9
5. Cash Flow Review and Free Cash Flow Analysis.....	10
6. Valuation	11

6.1 DCF.....	11
6.2 DDM.....	11
6.3 CCA	12
7 Conclusion	12
REFERENCES.....	13
APPENDICES.....	14
Appendix I: Common-Sized Analysis.....	14
Income Statement -Common Sizing.....	14
Balance Sheet -Common Sizing	14
Appendix II: Ratio Analysis.....	15
Profitability Ratio	15
Efficiency Ratio	15
Liquidity Ratio	15
Solvency Ratio	15
Market Ratio	16
Appendix II: Industry Comparison	16
First Energy’s Ratios Comparison with Industry Benchmark	16
Cash Flow Review and Free Cash Flow	16
Appendix III: Supporting Financial Ratio Trends	17
Profitability:	17
Liquidity:	17
Operational efficiency:	18

1.0 Company Analysis

1.1 Company Overview

First Energy Corp, established in 1997, Akron, Ohio, is one of the biggest electric utility companies in the United States with a population of about six million clients.

However, First Energy was alleged to have routed “dark money” during 2017–2020 to support a political network tied to the passage and protection of Ohio’s HB6, a bill that included subsidy related provisions.

1.2 Business Operations and Segments

A. Regulated Distribution: The subsidiary corporations of FirstEnergy distribute electricity to residential, commercial and industrial customers. Key activities include maintenance of the grids and restoration of outages, metering and billing services and demand management programs and energy efficiency,

B. Transmission - FirstEnergy Transmission (FET): FET has the high voltage transmission assets that are governed by the Federal Energy Regulatory Commission (FERC). Key attributes include formula-based rates are stable over the long term and large capital investment scheme.

C. Former Generation Exposure: In the past, First Energy held substantial coal, nuclear, and natural gas power generation assets. These assets have been divested and restructured. Today, First Energy is no longer directly involved in commercial power generation, placing it strategically in a position comparable to a fully regulated utility company.

2.0 INDUSTRY ANALYSIS

2.1 Industry Overview

The electric utility sector is extremely regulated, capital-intensive and critical to national infrastructure in the U.S. The natural monopolies usually have companies operating within the

territory they are assigned, the rates, quality of services, and the level of investments are regulated by the state.

There are three types of utility: Controlled T&D (Transmission & Distribution) utility; Generation + T&D vertically integrated utilities; Merchant generation by independent power producers (IPPs).

FirstEnergy is involved in category 1 predominantly.

2.2 Structure and Characteristics of the Industry

Regulation: Federal Energy Regulatory Commission (FERC): regulates interstate transmission. State utility commissions: Control distribution activities, rate cases, and customer programs.

Capital Intensity: Utilities invest heavily in transmission lines, substations, underground cables, modernization of grids between renewable energy.

Limited Competition: The T&D industry is marked with a low level of competition based on the exclusive services territories. Competition exists in wholesale power markets and retail supply deregulated states.

2.3 Industry Trends affecting FirstEnergy

Increase in Electrification and Load: Increased electricity demand in most areas is being brought about by data centers, EV charging systems, and electrification of heating.

Transition to Renewable Energy: Federal and state policies promote solar and wind integration, coal plant retirements, energy storage adoption, targets in carbon emissions reduction.

Aging Infrastructure: The U.S. grid was constructed during the 1950s-1970s to a large extent. The upgrade of this infrastructure is facing a high investment potential, risks of operation and reliability, and outage minimization and resilience pressure.

2.4 Key Competitors

Even though FirstEnergy is a controlled monopoly in the areas it serves, it indirectly competes with other big utility companies between capital, regulatory approval, and reputation of the industry. These are succinctly explained below:

Duke Energy, Duke and FirstEnergy are competitors in terms of investor capital as regards the financial performance, stability of regulations and prospects of growth.

Exelon competes with FirstEnergy in regulatory settings, service reliability ranking, and transmission development on PJM region.

Dominion Energy, Dominion compete with FirstEnergy based on their credit profile, clean energy transition plans and attractiveness of long-term capital investment.

American Electric Power (AEP), one of the nearest regional competitors of FirstEnergy includes AEP that operates in terms of transmission development, regulatory affairs, and performance indicators within the same jurisdiction.

PPL Corporation is a competitor of FirstEnergy in rate cases, grid modernization projects, and performance-based regulation in the state of Pennsylvania.

2.5 Porters Five Forces Analysis

Threat of New Entrants - Low	Threat of Substitutes - Moderate	Bargaining Power of Suppliers - Moderate.	Bargaining Power of Customers - Low to Moderate.	Industry Rivalry - Moderate
High capital requirements	Solar minimizes grid power reliance	Experts (transformers, high-voltage materials) are few suppliers	No other T&D provider of residential customers.	Regulatory positioning
Exclusive territories low competition	Energy saving initiatives reduce the use of energy	Labor unions have the power over project schedules	Retail choice or self-generation may be desired by the industrial customers	Capacity to get good rate cases
long payback periods	Community solar and microgrids take off	The increase in infrastructure demand in the world increases the cost of equipment.	Regulators become customer advocates increasing the bargaining power	Reliability metrics

2.6 Swot Analysis

Strengths	Weaknesses	Opportunities	Threats
• Large, steady and controlled customer base (more than 6 million) ensuring stable revenue. • It is one of the largest systems of transmission around 24,000 miles in the country. • Regularized profits of formula-rate regulation. • Strong capex program (\$28B 2025 – 2029) and sustaining long-term rate base. • Increasing financial performance and operational indicators.	• HB6 Scandal reputational damage (SEC settlement around \$100M). • Expensive legal, regulatory and compliance costs. • Higher levels of debt in history. • Exposure to unfavourable rate case determination.	• Growth in load due to Electrification. • Increase in the size of transmission footprint with potential doubling by 2030. • The federal and state subsidies on grid upgrades. • The EVs offer customer new revenue possibilities. • Smart grid (digitalization of grid operations, i.e., smart meters, sensors).	• Growth in load due to Electrification. • Increase in the size of transmission footprint with potential doubling by 2030. • The federal and state subsidies on grid upgrades. • The EVs offer customer new revenue possibilities. • Smart grid (digitalization of grid operations, i.e., smart meters, sensors).

3.0 Accounting Policies and Their Impact on Earnings Quality

First Energy's key accounting policies—revenue recognition, inventory measurement, and depreciation—directly influence the stability and comparability of its earnings.

Revenue Recognition: Retail electricity revenue relies on estimated unbilled usage based on meter data, usage days, line losses, customer demand, and regulated rates. Transmission revenue follows an approved cost-recovery formula, while derivative gains and late-payment fees follow other GAAP rules.

Impact on earnings quality: Heavy reliance on estimates introduces judgment risk and potential overstatement; regulated transmission revenues are more stable; non-contract revenues add variability. Overall revenue quality is moderate.

Inventory Accounting: Inventory includes fuel, materials, and emission allowances, recorded at weighted average cost. Materials are expensed or capitalized depending on usage; fuel is expensed when consumed; emission allowances are expensed based on actual emissions.

Impact: Fuel cost fluctuations create earnings volatility; capitalization vs. expensing requires managerial judgment; timing of allowance purchases can affect expenses.

Depreciation Policy: PP&E is recorded at full historical cost, including labor, indirect costs, and capitalized financing. Depreciation uses approved useful lives; all maintenance is expensed when incurred.

Impact: Regulated depreciation increases consistency, though differing useful lives may distort asset consumption; capitalized financing boosts early-period earnings; expensed maintenance can cause year-to-year variability.

4.0 Financial Analysis

4.1 Common-Sized Financial Statement (Appendix I)

4.1.1 Income Statement -Common Sized

The cost of sales was 40-48% of revenue, meaning that almost half of the revenue was directly used in producing electricity. The highest efficiency was observed in 2020 and increased to the 47-48% range in 2021-2023, which narrowed the gross margins. The rationale behind it is attributed to increased fuel prices or more system repairs.

The company maintained gross profit of 52-60% relative to the revenue with the best performance in 2017 and 2020. Between 2022-2024, the margins had fallen to 52-55, suggesting that increasing cost of production put pressure on the revenue.

The best cost discipline occurred in 2019 with the expense spiking in 2021-2022 greatly diminishing operating margins. The changes are presumably evidence of inflationary pressure from 4.7% to 8.1% (2021-2022).

4.1.2 Balance Sheet - Common Sized

Cash flows were consistently low, usually about 1.5 percent of overall assets, except for extraordinary rises in 2020-2021 due to precautionary liquidity reserves. As of 2023-2024, the cash

had reduced to 0.2-0.3%, indicating that the excess liquidity was either allocated to operations and payment of the liabilities.

The receivables were maintained at 2.8-3.7 percent of assets which are expected to be taken in collections which are common to regulated utilities, and inventory remained low at 0.5-1.0%. This is because the business model of the company is regulated, service-driven, and, by default, needs a very small amount of inventory and results in stable, low-volatility receivables, keeping working-capital requirements low and steady.

The highest level of current assets occurred in 2020-2021 when liquidity inflows were temporary throughout the pandemic, and then the situation returned to normal as liquidity support expired. The current liabilities stood at 9.6-11.5 percent of the assets, which showed that there was no short-term liquidity constraint. The trend indicates, in general, transient liquidity inflows, and stabilization.

4.2 Ratio Analysis (Appendix II)

4.2.1 Profitability Ratio

Gross Profit Margin was high during 2017-2024, and the best performances were in 2017 and 2020 with margins of about 59. In 2022-2023, margins decreased to $\approx 52\%$ with the increase of input costs. This implies that as far as core operations remain efficient, the increasing production costs put gross profitability under strain.

The Net Profit Margin ranged from 3.5-11 with its highest point in 2020 and 2023 of approximately 9.3. This was due to the swift decline in 2022 to 3.5% which was probably a result of tax adjustments or non-recurring charges and not bad operations.

The ratio of ROE fell to 8.5% in 2024 compared to 17.8% in 2017, which shows less strength of earnings as compared to share capital. This trend implies an expansion of equity or dilution with the passage of time that decreases the intensity of returns.

ROA remained small at 1-2.8 percent, indicating the characteristics of a capital-intensive utility business. The poor return of the assets is anticipated due to the heavy investments in long-term infrastructure. This proves the fact that the asset-heavy models tend to suppress ROA even when healthy operations are at play.

FE's net margin is low mainly because it operates as a regulated utility. Revenue growth is tightly restricted by state regulators, while operating and infrastructure costs—especially maintenance, labor, and compliance—keep rising faster than the allowed price increases. This squeezes margins and keeps profitability below industry peers.

4.2.2 Efficiency Ratio

AR Turnover was also stable at 7-8.7 times with a steady conversion of credit sales into cash. Collection Days remained in 41-48 days, which reflects predictable customer payment patterns that are associated with regulated utilities. The moderate increase in 2023-2024 indicates only a slight increase in collections but no major structural issues of concern.

Payables Turnover slowly deteriorated with ≈ 5.3 times in 2018, to approximately 4.0-4.3 times in 2023-2024, i.e., the company is paying suppliers slower with time.

The efficiency of the inventory has significantly worsened over the years because the turnover declined between ≈ 19.6 times (2018) and 11-13 times in 2023-2024. In that regard, the number of inventory days has grown ≈ 18 -21 days to ≈ 28 -33 days, and it indicates slow stock movement. This is the most evident indicative of a decline in the working-capital cycle of operational efficiency.

FE's operational efficiency is weak mainly because of project delays and slower execution of maintenance and infrastructure programs that cause materials to stay unused for longer, reducing inventory turnover. At the same time, rising cash-flow pressure makes the company delay payments to suppliers, lowering payables turnover.

4.2.3 Liquidity Ratio

The current ratio has declined over the years since 2017 when the figure was 0.76 to 0.56 in 2024, and it has remained below 1. This implies that the company is not always adequately equipped with short-term assets to finance its short-term liabilities, which shows that there is a risk of liquidity pressure.

The trend of the quick ratio is like the current ratio, declining to 0.45 in 2024 as compared to 0.70 in 2017. The constant decline is an indication that the company might have to depend more on inventory turnover or borrowing funds to cover the short-term requirements.

Cash ratio is very low in all years but is at its lowest of 0.02 in 2024 as compared to a high of 0.35 in 2020. This implies that the company has a very low amount of cash compared to its short-term debts.

FE's liquidity is weak because the company carries high debt obligations, must spend heavily on mandatory infrastructure and maintenance projects, and generates limited free cash flow. These factors consume most of its short-term resources, leaving very low cash reserves and current/quick ratios below 1.

4.2.4 Solvency Ratio

The ratio is extremely high, 0.74-0.91, which shows that the company is strongly debt-financed. The high financial leverage is an indicator of high long-term risk, and dependence on creditors. The marginally better 2024 (0.74) indicates a small step in reducing leverage but is still indicating reliance on debt.

The situation is also high in debt to equity as it moved between 2.79 and almost 10 throughout the period. Aggressive leverage figures are above 2 and previous years such as 2017 (9.77) depict that the company relied heavily on debt financing.

The interest coverage ratio varies between 1.5 and 2.6 that is weak. A near value of 1 indicates that the company operates only barely to meet its interests, which is a sign of vulnerability in times of a decline in earnings. As 2024 is slightly better (2.35), the overall coverage is scanty.

Utilities require massive investment in power lines, substations, grid upgrades, and regulatory compliance. Most of this spending is financed through debt, not equity, which leads to high debt.

4.2.5 Market Ratio

The P/E ratio varies dramatically annually, with it being the highest in 2022 due to 39.61 and the lowest in 2020 due to 11.47. These excessive movements are signs of volatile investor expectations, which are usually caused by unreliable earnings.

The EPS has been mixed, with the highest value of close to 3.0 in 2021 but declined dramatically in 2022 and previous years, even becoming negative in 2017. This volatility represents volatile profitability and is probably one of the reasons why the P/E ratio is volatile.

The trend of the P/B ratio has been decreasing since 2019 in the following way: the ratio values are decreasing to 1.84 in 2024, whereas in 2019 the ratio is 3.77. A declining P/B indicates that the market is valuing the net asset base of the company at a lower value due to poor future earnings prospects and excessive leverage.

4.3 First Energy's Ratios Comparison with Industry Benchmark

The net margin of FirstEnergy is lower than the industry average in all years, which implies that the company is not profitable in terms of profitability per sale. The difference is high in such years 2022, when the company has worse cost management or price pressure. FE is still far behind with 2024 showing improvement (8.40% vs. 15.2%).

The ROA of FirstEnergy continues to fall below the industry average annually indicating inefficiency in the use of assets to make profits. This difference is the most significant during

weak-earnings years, such as the year 2022, when FE made only 1% ROA compared to 2.2 in the industry.

The current ratio of FirstEnergy has been always low, which is less than the industry average, which means that the short-term liquidity is less. This puts forward a more significant risk that FE will not be able to meet near-term obligations. It never surpassed industry liquidity levels even in its most powerful year (2021).

FirstEnergy has a higher turnover receivable every year than the industry, which indicates that it receives money from customers faster. The high liquidity ratios within FE are offset by strong receivable management. However, FE has a low turnover of its payables compared to the industry average; that is, it takes more time to pay its suppliers. This habit causes damage to supplier relationships or can be a sign of cash flow pressure.

5. Cash Flow Review and Free Cash Flow Analysis

After reviewing FirstEnergy's cash flow over the past seven years, it can be found that the generation of free cash flow has always been relatively weak. During these seven years, the FCF was negative for five years (2018, 2020, 2022, 2023, and 2024), which actually reflects that the company has always been unable to provide sufficient funds for its capital plan within the company. Although the operating cash flow was relatively strong in 2021 and 2022, it still failed to cover the annual capital expenditure of 3 to 5 billion Canadian dollars that was still steadily increasing. Only in 2019 and 2021 did positive FCF occur. However, compared with the large amount of capital outflows in those negative growth years, The amount of positive FCF generated is not very large.

The cash flow statement also reveals that the company relies to a large extent on external financing and long-term debt issuance. This is done to maintain the company's liquidity and make

dividend payments. This reliance on external financing highlights the structural pressure in cash generation and the limited financial flexibility of the company. Overall, the development trend over the past seven years has shown that the company's cash flow situation is structurally weak and unstable.

6. Valuation

6.1 DCF

Using DCF, the implied value for FirstEnergy Corp is around CAD 67.42 per share. It is terminal value only: most enterprise value is the current value of the terminal value, and explicit forecast-period cash flows take less. Hence, the valuation is sensitive to long-run assumptions, like perpetual growth rate ($g = 2.5\%$) and exit multiple (Implied EV/EBITDA = 12x). For a regulated utility with relatively stable cash flows and moderate growth, DCF can be used to capture long-term assumptions, but the report should emphasize small changes in terminal assumptions, or discount rate can dramatically change the estimate.

6.2 DDM

DDM has the lower implied value of FirstEnergy, about CAD 42.67, meaningfully lower than DCF, as DDM only pays dividends to shareholders, which makes this result highly dependent on dividend policy and assumed dividend growth. For such an approach, dividends follow two steps (2.67% growth from 2025-2029 and 2.50% growth thereafter) and are discounted by CAPM cost of equity (about 6.92%). Under such assumptions, if dividend growth is conservative or the firm will retain more cash to deleverage and capital spends instead of payouts, DDM will be a conservative valuation. For regulated utilities, DDM is natural because it corresponds directly to shareholder cash returns, but it can understate when cash is invested instead of paid out.

6.3 CCA

The comparable-company solution suggests that FirstEnergy currently is around CAD 54.78 per share, relative to the DCF and DDM results. This values the company relative to what similar utilities the market currently prices. EV/EBITDA is chosen to be the single largest number, since, in this case, the price would be higher for regulated utilities, and the depreciation and leverage may be different, and that accounting issues would distort the earnings. CCA is then dependent on the peer selection quality (similar regulation, business mix, growth and leverage) and the market level, interest rate and risk sentiment in a certain sense, which corresponds to what the market is “going price” for the sector at the point in time.

7 Conclusion

In conclusion, findings showed that profitability remained steady but showed pressure between 2022–2024 while the net margin was volatile. Returns including ROE declined from 17.8 to 8.5 percent, and ROA stayed low at around 1–2.8 percent, consistent with asset–intensive utility companies. On the other hand, receivables remained stable; inventory and payables turnover declined, suggesting slower execution and cash tightness. Liquidity is persistently weak, like current ratio declined from 0.76 to 0.56; and solvency showed that FirstEnergy is highly leveraging and unstable interest coverage.

Moreover, DCF has the highest intrinsic value around CAD 67.42 but is driven by a high terminal value. DDM is the lowest with CAD 42.67, since it reflects only the dividends and depends on payout and growth assumptions. CCA sits between them with CAD 54.78, driven by peer multiples and market sentiment.

Overall, the ratios revealed higher financial risk and limited upside. Given its fair valuation and high leverage, we believe that the stock will perform in line with the market, thus warranting a sell rating.

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APPENDICES

Appendix I: Common-Sized Analysis

Income Statement -Common Sizing

Base – Total Revenue

	2024	2023	2022	2021	2020	2019	2018	2017
<i>Cost of Sales (%)</i>	44.22	47.45	47.90	42.64	40.26	42.08	42.47	40.72
<i>Gross Profit (%)</i>	55.78	52.55	52.10	57.36	59.74	57.92	57.53	59.28
<i>Total Expenses (%)</i>	82.37	82.39	84.67	85.47	79.96	77.25	77.78	77.41
<i>Interest Expenses (%)</i>	7.33	7.98	7.67	9.58	9.16	8.72	9.33	8.72
<i>Operating Profit (%)</i>	17.63	17.61	15.33	14.53	20.04	22.75	22.22	22.59
<i>Income Tax (%)</i>	2.80	2.07	8.03	2.87	1.17	1.93	4.14	4.78
<i>Net Income (%)</i>	7.26	8.56	3.26	11.53	10.00	8.23	8.71	-15.78

Source: Refinitiv

Balance Sheet -Common Sizing

Base – Total Asset

	2024	2023	2022	2021	2020	2019	2018	2017
<i>Cash & Cash Equivalent (%)</i>	0.21	0.28	0.35	3.22	3.90	1.48	0.92	1.39
<i>Receivables (%)</i>	3.52	3.25	3.41	2.82	3.24	3.06	3.77	3.44
<i>Inventory (%)</i>	1.05	1.05	0.91	0.57	0.71	0.66	0.63	0.56
<i>Current Assets (%)</i>	5.33	5.27	5.24	7.12	8.35	5.78	5.97	7.36
<i>Account Payables (%)</i>	3.03	2.79	3.26	2.08	1.86	2.38	2.41	1.96
<i>Non-Current Liabilities (%)</i>	64.04	66.57	68.33	71.19	72.47	72.02	71.43	80.98
<i>Current Liabilities (%)</i>	9.60	11.04	8.58	9.72	11.25	11.49	11.57	9.73

Source: Refinitiv

Appendix II: Ratio Analysis

Profitability Ratio

<i>Years</i>	<i>2024</i>	<i>2023</i>	<i>2022</i>	<i>2021</i>	<i>2020</i>	<i>2019</i>	<i>2018</i>	<i>2017</i>
GPM (%)	55.80	52.60	52.10	57.40	59.70	57.90	57.50	59.30
OPM (%)	17.60	17.60	15.30	14.50	20.00	22.80	22.20	22.60
NPM (%)	8.40	9.30	3.50	11.10	9.30	8.20	9.30	8.30
ROE (%)	8.50	10.90	4.30	15.60	14.10	13.10	12.70	17.80
ROA (%)	2.20	2.50	1.00	2.80	2.30	2.20	2.50	2.10
ROCE (%)	4.70	5.70	2.20	6.60	6.60	6.20	8.30	-4.30

Source: Refinitiv

Efficiency Ratio

<i>Years</i>	<i>2024</i>	<i>2023</i>	<i>2022</i>	<i>2021</i>	<i>2020</i>	<i>2019</i>	<i>2018</i>	<i>2017</i>
AR Turnover	7.89	8.16	8.74	8.19	7.90	7.87	7.60	7.13
AR Collection Days	46.42	44.86	41.86	44.68	46.35	46.52	48.15	51.36
Payables Turnover	4.06	4.26	4.88	5.36	4.74	4.71	5.34	4.76
Average Payables Payment Days	90.23	85.85	75.00	68.23	77.18	77.63	68.56	76.90
Inventory Turnover	11.23	13.09	17.53	16.45	14.53	17.43	19.60	11.13
Average Inventory Days	32.59	27.96	20.88	22.24	25.19	21.00	18.67	32.90

Source: Refinitiv

Liquidity Ratio

<i>Years</i>	<i>2024</i>	<i>2023</i>	<i>2022</i>	<i>2021</i>	<i>2020</i>	<i>2019</i>	<i>2018</i>	<i>2017</i>
Current Ratio	0.56	0.48	0.61	0.73	0.74	0.50	0.52	0.76
Quick Ratio	0.45	0.38	0.50	0.67	0.68	0.44	0.46	0.70
Cash Ratio	0.02	0.03	0.04	0.33	0.35	0.13	0.08	0.14

Source: Refinitiv

Solvency Ratio

<i>Years</i>	<i>2024</i>	<i>2023</i>	<i>2022</i>	<i>2021</i>	<i>2020</i>	<i>2019</i>	<i>2018</i>	<i>2017</i>
Debt - Total Assets	0.74	0.78	0.77	0.81	0.84	0.84	0.83	0.91
Debt - Total Equity	2.79	3.47	3.33	4.24	5.14	5.06	4.88	9.77
Interest Coverage Ratio	2.35	2.21	2.00	1.52	2.19	2.61	2.38	2.59

Source: Refinitiv

Market Ratio

<i>Years</i>	<i>2024</i>	<i>2023</i>	<i>2022</i>	<i>2021</i>	<i>2020</i>	<i>2019</i>	<i>2018</i>	<i>2017</i>
<i>Price Earnings Ratio</i>	17.07	14.13	39.61	14.21	11.47	21.59	14.53	-6.08
<i>EPS</i>	2.33	2.60	0.93	2.95	2.67	2.25	2.58	-5.04
<i>Price to Book</i>	1.84	2.02	2.36	2.73	2.30	3.77	2.85	3.47
<i>Dividend Yield (%)</i>	4.27	4.36	3.72	3.75	5.10	3.15	4.85	4.70

Source: Refinitiv

Appendix II: Industry Comparison

First Energy's Ratios Comparison with Industry Benchmark

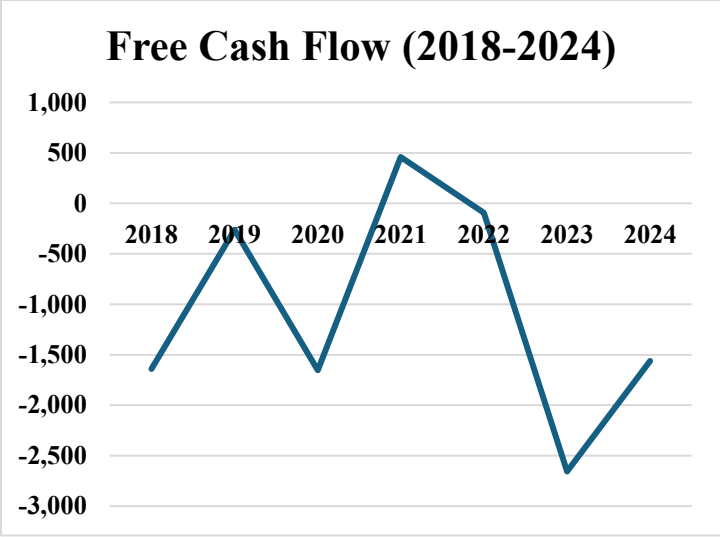
		<i>2024</i>	<i>2023</i>	<i>2022</i>	<i>2021</i>	<i>2020</i>	<i>2019</i>	<i>2018</i>	<i>2017</i>
<i>Net Margin - %</i>	IND	15.2%	15.0%	11.7%	14.8%	13.9%	14.3%	11.9%	12.3%
	FE	8.40	9.30	3.50	11.10	9.30	8.20	9.30	8.30
<i>Return on Average Total Assets</i>	IND	3.0%	2.4%	2.2%	2.0%	2.0%	2.7%	2.8%	3.0%
	FE	2.20	2.50	1.00	2.80	2.30	2.20	2.50	2.10
<i>Total Debt Percentage of Total Equity</i>	IND	167.7%	170.5%	161.9%	140.3%	139.9%	127.8%	131.8%	124.5%
	FE	175.1%	228.2%	203.5%	275.0%	338.2%	301.1%	286.2%	498.0%
<i>Current Ratio</i>	IND	0.67	0.74	0.66	0.82	0.66	0.64	0.67	0.74
	FE	0.56	0.48	0.61	0.73	0.74	0.50	0.52	0.76
<i>Quick Ratio</i>	IND	0.46	0.49	0.5	0.58	0.5	0.46	0.5	0.55
	FE	0.45	0.38	0.50	0.67	0.68	0.44	0.46	0.70
<i>Accounts Receivable Turnover</i>	IND	6.47	6.28	5.47	4.5	5.86	5.77	6.19	6.14
	FE	7.89	8.16	8.74	8.19	7.90	7.87	7.60	7.13
<i>Payables Turnover</i>	IND	5.9	5.63	6.11	5.565	5.22	5.85	6.24	5.85
	FE	4.06	4.26	4.88	5.36	4.74	4.71	5.34	4.76

Source: Refinitiv

Cash Flow Review and Free Cash Flow

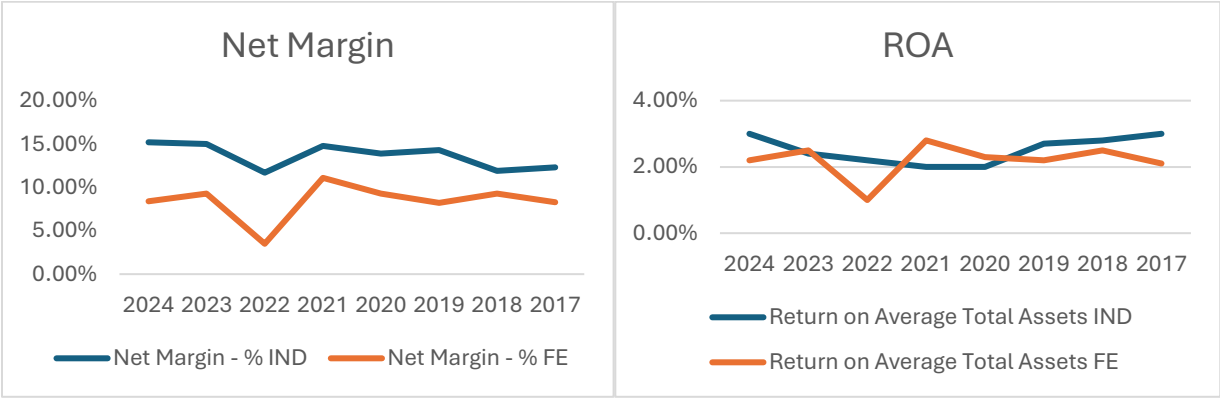
<i>2018</i>	<i>2019</i>	<i>2020</i>	<i>2021</i>	<i>2022</i>	<i>2023</i>	<i>2024</i>
-1,639	-263	-1,655	459	-95	-2,657	-1,560

Source: Refinitiv

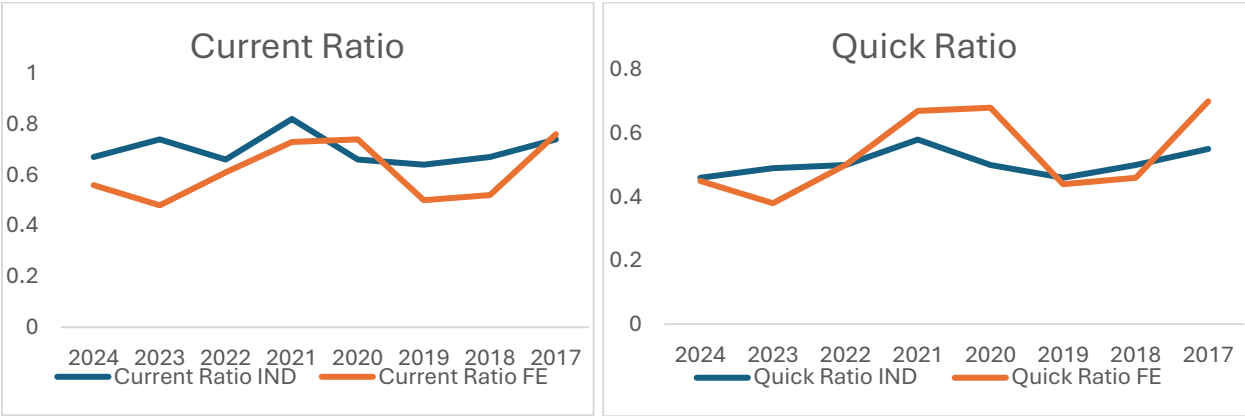


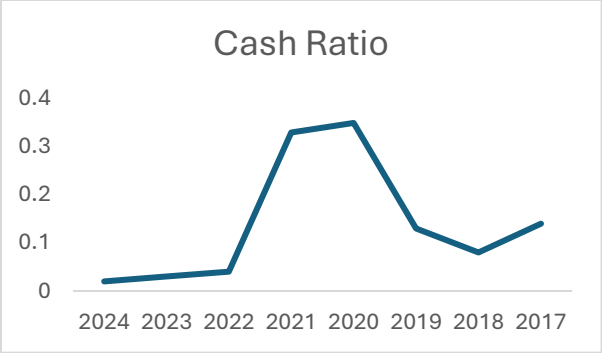
Appendix III: Supporting Financial Ratio Trends

Profitability:



Liquidity:





operational efficiency:

